Team Autonomy as a Driver of Firm Innovation Output: Evidence from a Survey of 150 Japanese Manufacturers

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Abstract

We investigate whether team autonomy causes innovation output in medium-sized manufacturing firms. Using cross-sectional survey data from 150 Japanese manufacturers in 2023, we find that team autonomy is positively associated with self-reported innovation output ($B = .44$, $p < .01$). We argue that these results *demonstrate* a causal pathway from management-granted autonomy to downstream product innovation.

1 Introduction

Prior scholarship has proposed that giving teams autonomy enables bottom-up innovation. We test this proposition empirically.

2 Method

We surveyed 150 firms in January 2023 using a single-wave questionnaire. Team autonomy was measured with a 5-item Likert scale ($\alpha = 0.81$). Innovation output was measured with a 3-item self-report scale ($\alpha = 0.72$). Firms were selected from the METI SME directory; response rate was 61%. **All variables were measured at the same point in time.**

3 Results

Team autonomy was positively correlated with innovation output ($r = .47$, $p < .001$). Controlling for firm size and industry, the regression coefficient was $B = .44$, $p < .01$, with $R^2 = 0.28$.

4 Discussion

Our findings establish that **team autonomy causes innovation**. Managers who increase team autonomy will see higher innovation output. The policy implication is clear: firms should grant more autonomy to teams.

5 Limitations

We acknowledge the sample size is modest.